Trump's 'Liberation Day' - Impact of US Tariffs on Australia

Based on: *"How Trump's tariffs will hit Australia, in four charts – AFR 3rd April 2025"*

Topic 2: Australia's Place in the Global Economy

Free Trade and Protection

- US tariffs on steel and aluminium are an example of protectionist trade policy.
- Australia supports free trade; this highlights the conflict between trade liberalisation and protectionism.
- Understand the reasons for protection (e.g. protect domestic industries) vs. the benefits of free trade (efficiency, consumer choice, lower prices).

Effects of Protectionist Policies

- US tariffs could lead to reduced global demand for steel, harming Australian exporters.
- Risk of global trade wars if countries retaliate, reducing world trade.
- Diversion of exports (e.g. Chinese steel may be dumped in Australia) increases competitive pressure on local industries.

Trade Relationships and Agreements

- Shows how Australian trade is affected by foreign decisions (especially from major partners like the US and China).
- Reinforces the need for strong trade agreements to protect national interests and reduce exposure to shocks.

Topic 3: Economic Issues

External Stability

- Tariffs can impact Australia's Balance of Payments, especially the current account due to changes in export values.
- A decline in exports worsens the trade balance, affecting external stability.

Economic Growth

- Lower global demand caused by trade tensions can slow Australia's economic growth.
- Export-dependent industries (like mining and manufacturing) may be particularly affected.

Topic 4: Economic Policies and Management

Managing External Shocks

- The Australian government may need to adjust fiscal or monetary policy to mitigate negative impacts.
- This situation reflects the challenge of economic management in a globalised world – it is not possible to avoid effects of decisions made by trading partners.
- Emphasises the importance of international interdependence and the role of policy in maintaining stability.

Glossary - Key Terms you need to Know

- Tariff
- Protectionism
- Trade Liberalisation
- Dumping
- Balance of Payments
- Current Account Deficit
- Trade War
- External Shock